

CBSE Class 12 Accountancy

Mock Test: Issue of Debentures

Instructions:

- Total Marks: 50 | Time Allowed: 1 Hour
- Section A: 10 MCQs (1 mark each)
- Section B: Short Answer Questions (10 marks total)
- Section C: Long Answer Questions (10 marks total)
- Section D: Practical Problems (20 marks total)

Section A: Multiple Choice Questions

- 1. Debentures represent the:** [1]
a) Capital of the company | b) Debt of the company | c) Profit of the company | d) None
- 2. Interest on debentures is:** [1]
a) Appropriation of Profit | b) Charge against Profit | c) Asset | d) Liability
- 3. Debentures issued as collateral security are:** [1]
a) Primary Security | b) Secondary Security | c) No Security | d) Fixed Asset
- 4. Premium on redemption of debentures is a:** [1]
a) Personal A/c | b) Real A/c | c) Nominal A/c | d) Liability A/c
- 5. Discount on issue of debentures is a:** [1]
a) Capital Profit | b) Capital Loss | c) Revenue Loss | d) Revenue Profit
- 6. Convertible debentures can be converted into:** [1]
a) Cash | b) Shares | c) Machinery | d) Investments
- 7. Debentures issued at par and redeemable at premium, the premium is debited to:** [1]
a) P&L A/c | b) Loss on issue of Debentures A/c | c) Debenture A/c | d) Bank A/c
- 8. Zero Coupon Bonds are issued:** [1]
a) For cash | b) For consideration other than cash | c) At deep discount | d) At premium
- 9. Debentures can be issued:** [1]
a) Only at Par | b) Only at Premium | c) At Par, Premium or Discount | d) Only at Discount

10. TDS is calculated on:

[1]

a) Debenture Amount | b) Interest on Debentures | c) Issue Price | d) Redemption Price

Section B: Short Answer Questions

11. Define Debentures and state three features. [3]

12. What is 'Collateral Security'? How is it shown in the Balance Sheet? [3]

13. Distinguish between Shares and Debentures. [2]

14. Explain 'Interest on Debentures' and its tax implication. [2]

Section C: Long Answer Questions

15. Accounting treatment for issue of debentures for consideration other than cash. [5]

16. Explain different cases of issue of debentures from the point of view of redemption. [5]

Section D: Practical Problems

17. Issue for Consideration other than Cash

[5]

A Company purchased assets of Rs. 9,90,000 from a vendor. It issued 11% Debentures of Rs. 100 each in satisfaction. Pass entries if issued at (i) Par (ii) 10% Discount.

18. Comprehensive Issue & Interest

[15]

X Ltd. issued 5,000, 9% Debentures of Rs. 100 each at a discount of 5% on 1st April 2023, redeemable at a premium of 10% after 5 years. Interest is payable half-yearly on 30th Sept and 31st March. TDS is 10%. Pass Journal Entries for the first year.

Solutions & Answer Key

Section A: 1(b), 2(b), 3(b), 4(d), 5(b), 6(b), 7(b), 8(c), 9(c), 10(b)

Q17 Hint: (i) Par: 9,900 Debentures. (ii) Discount: $9,90,000/90 = 11,000$ Debentures.

Q18 Hint: 5,00,000 Debentures. Loss on Issue = 25,000 (Disc) + 50,000 (Prem) = 75,000.
Interest = 45,000 p.a. (22,500 per half-year). TDS = 2,250 per half-year.